
Duolingo FY2025 investor update

Results and the 2026 plan, built only from public filings. Illustrative example, not affiliated with Duolingo, Inc. Not investment advice.

SoWhat Decks example · Figures as published in February 2026

Duolingo is trading 2026 bookings growth for user growth, so judge 2026 by DAUs

1 **2025 delivered scale and profit**

Revenue rose 39% to \$1.04B; adjusted EBITDA margin widened from 25.7% to 29.5% (non-GAAP).

2 **But user growth slowed sharply**

DAU growth fell from 51% to 30% and paid subscriber growth from 43% to 28% (Q4 vs Q4).

3 **The 2026 plan gives up bookings growth and margin on purpose**

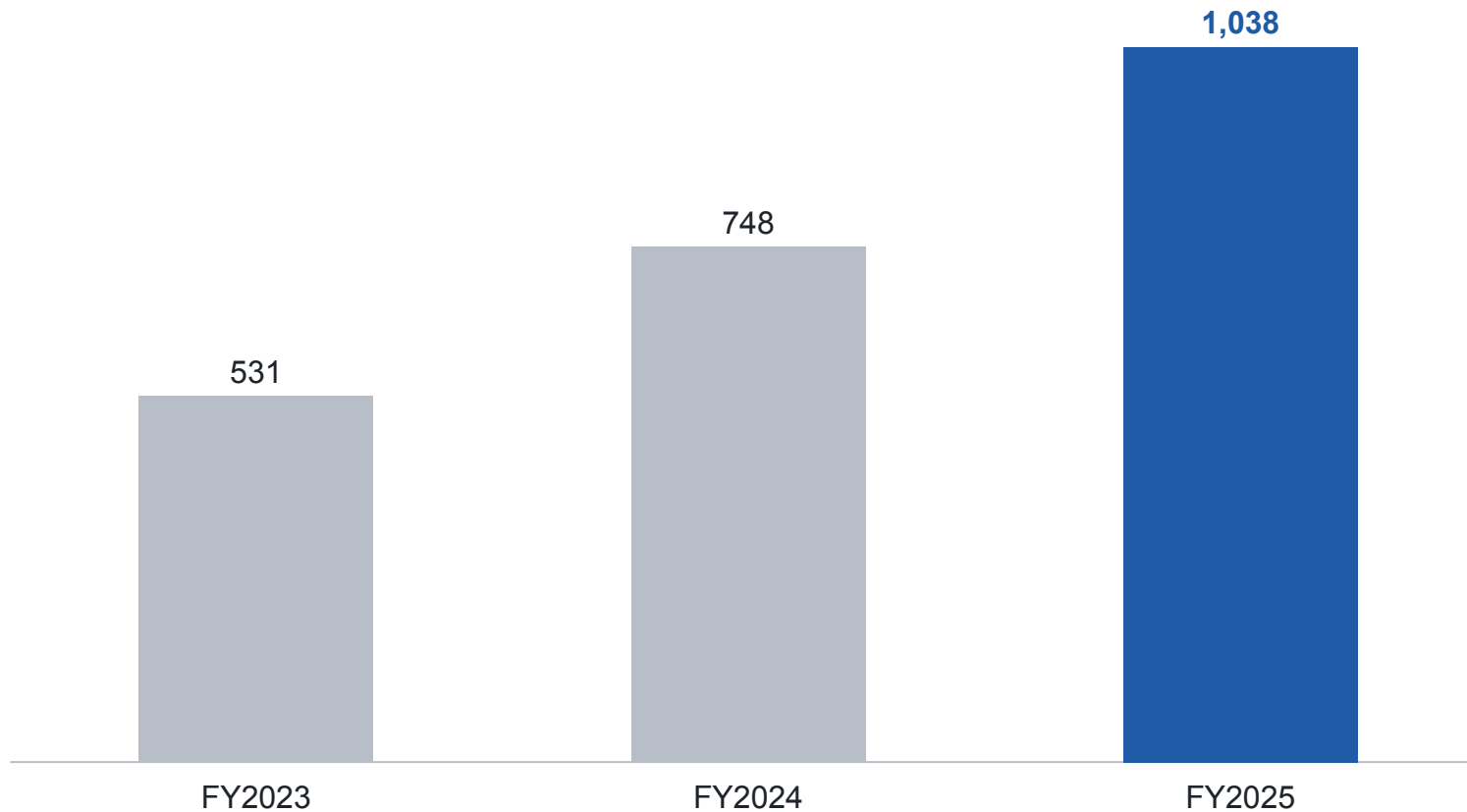
Guidance: bookings +10% to +12%, adjusted EBITDA margin 25%, over \$50M of bookings invested in free users.

4 **Cash flow can fund the bet**

\$360M of free cash flow in 2025, \$1.04B in cash at year end, and a \$400M buyback authorization.

Revenue grew 39% to \$1.04B in 2025, the first year above \$1B

Revenue, fiscal years, \$M

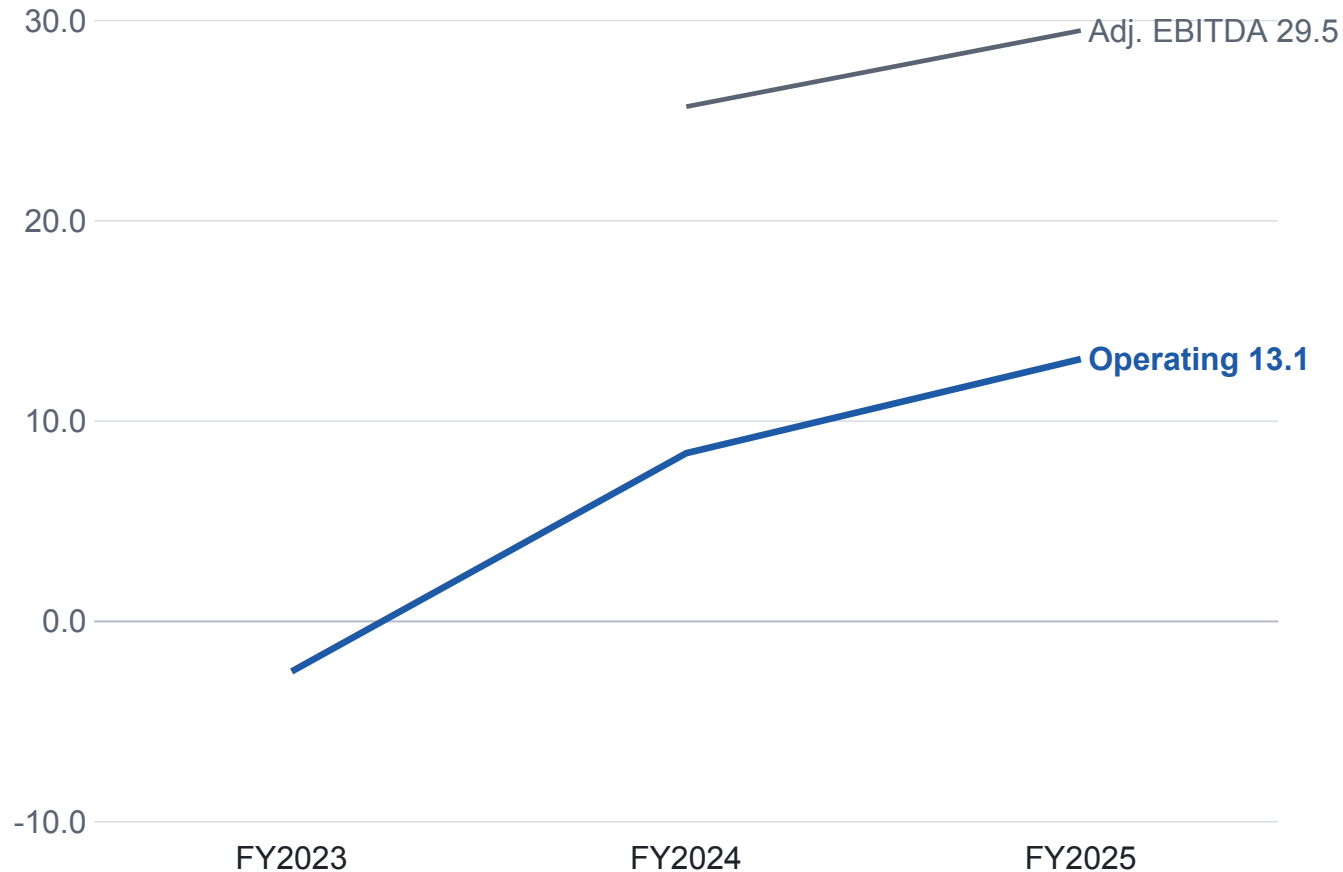


So what

- Growth was 41% in 2024 and 39% in 2025: the top line barely slowed
- Revenue has nearly doubled in two years, from \$531M to \$1,038M

Operating margin rose from 8.4% to 13.1%, and adjusted EBITDA margin reached 29.5%

Margins, fiscal years, %

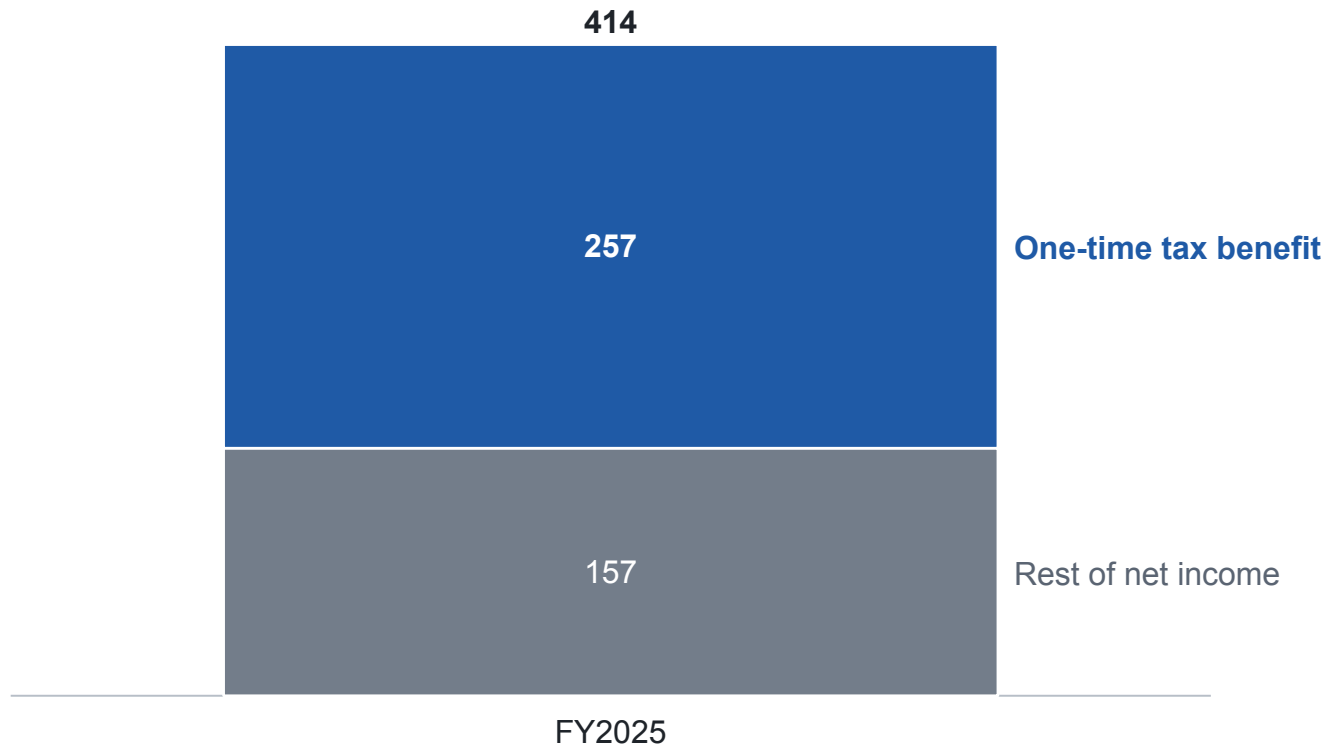


So what

- Operating income went from a \$13M loss in 2023 to \$136M in 2025
- Adjusted EBITDA margin (non-GAAP) rose from 25.7% to 29.5%; the letters used here do not give FY2023

A one-time \$257M tax benefit makes up most of 2025's \$414M net income

FY2025 net income by component, \$M

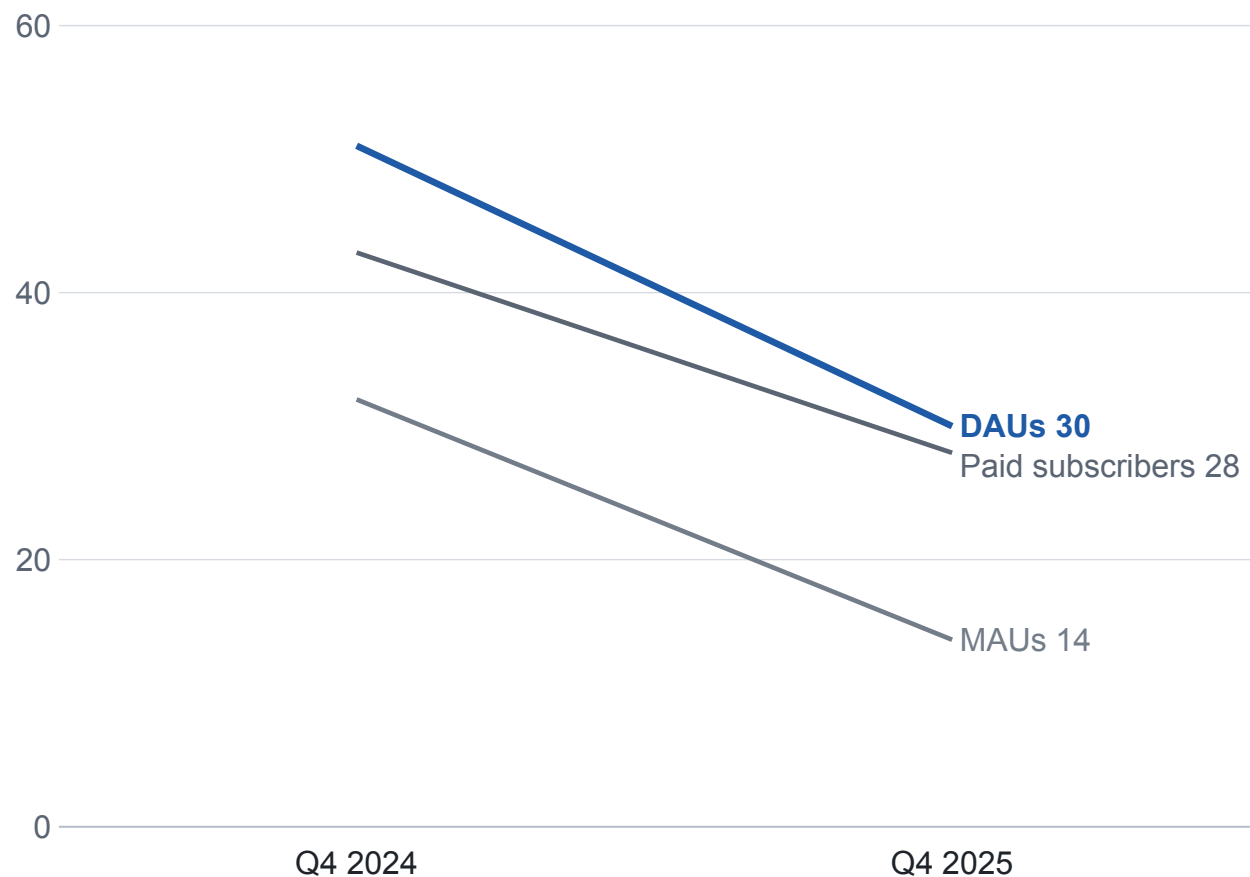


So what

- 62% of 2025 net income came from releasing a tax valuation allowance
- Without it, net income was about \$157M, still up from \$89M in 2024
- Read 2025 profit through operating margin, not net income

User growth slowed in 2025: DAUs grew 30% after 51%, and MAUs 14% after 32%

Growth vs the prior year's fourth quarter, %

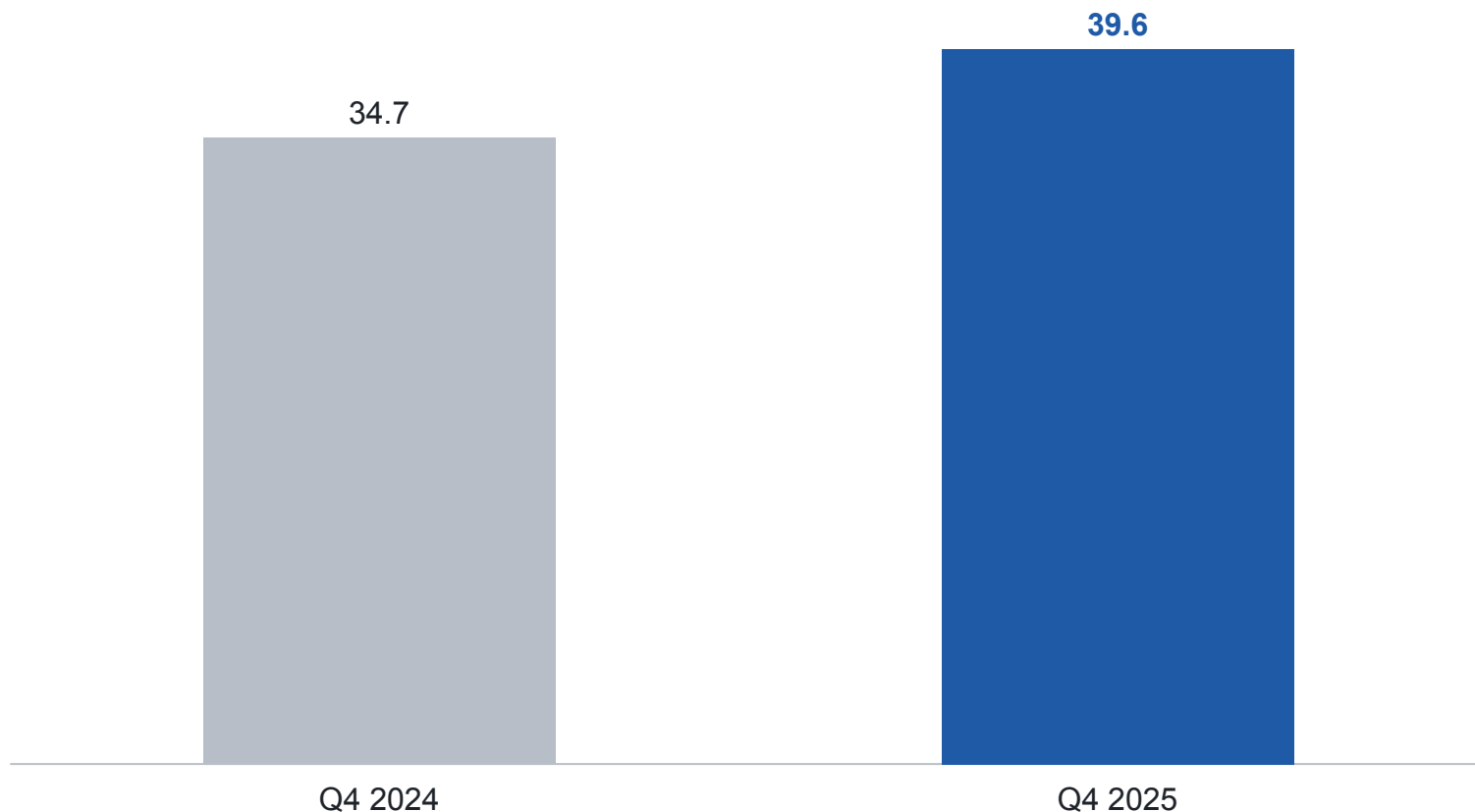


So what

- Every user metric grew more slowly in 2025 than in 2024
- Q4 2025 base: 52.7M DAUs, 133.1M MAUs, 12.2M paid subscribers
- DAUs feed future subscribers, so this is the number the 2026 plan targets

Engagement still deepened: 40% of monthly users now open the app daily, up from 35%

Daily active users as a share of monthly active users, Q4, %

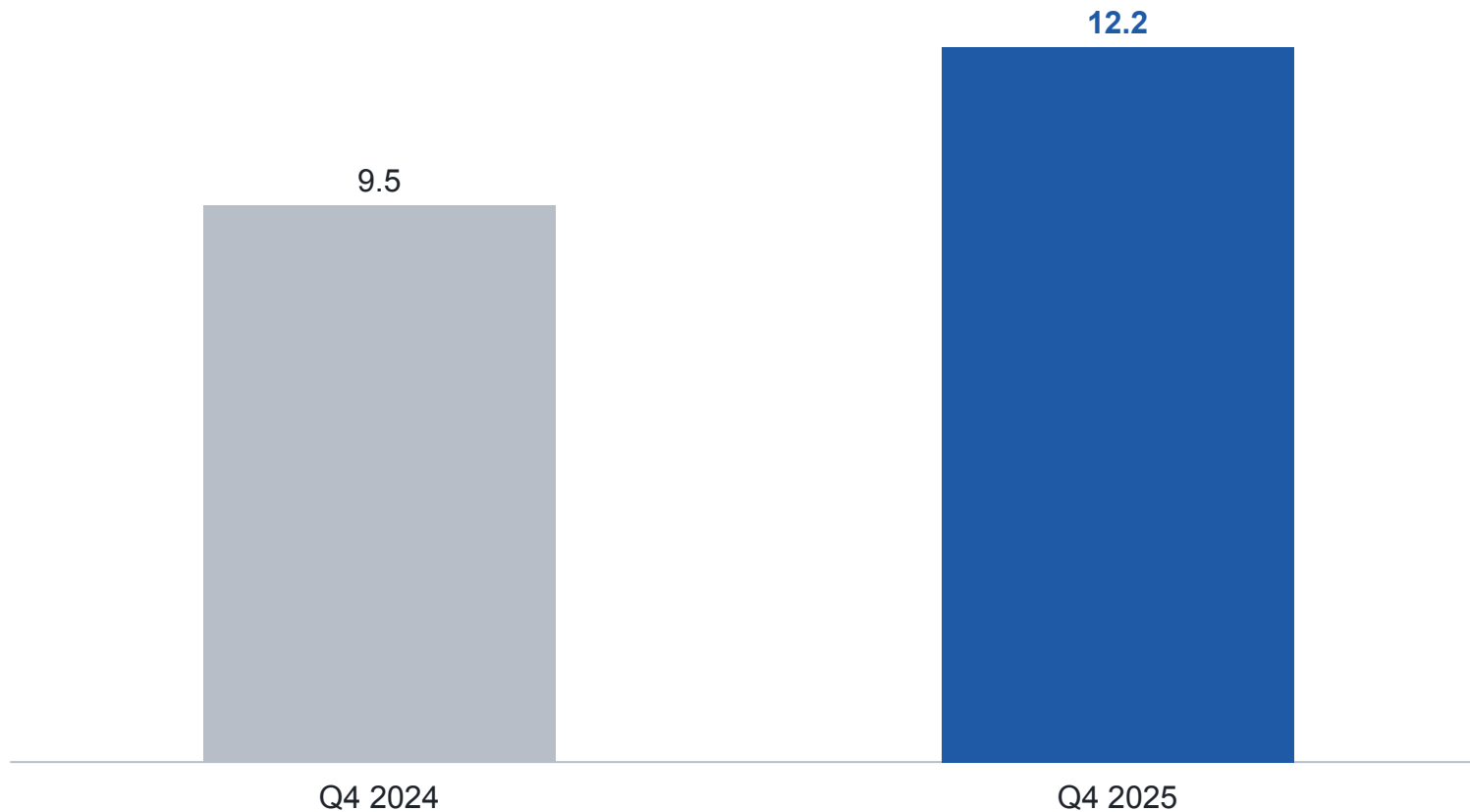


So what

- Fewer new users arrived, but the ones who stayed used the app more often
- Daily habit is what converts free users into subscribers

Paid subscribers grew 28% to 12.2M, slower than the 43% of a year earlier

Paid subscribers at quarter end, M

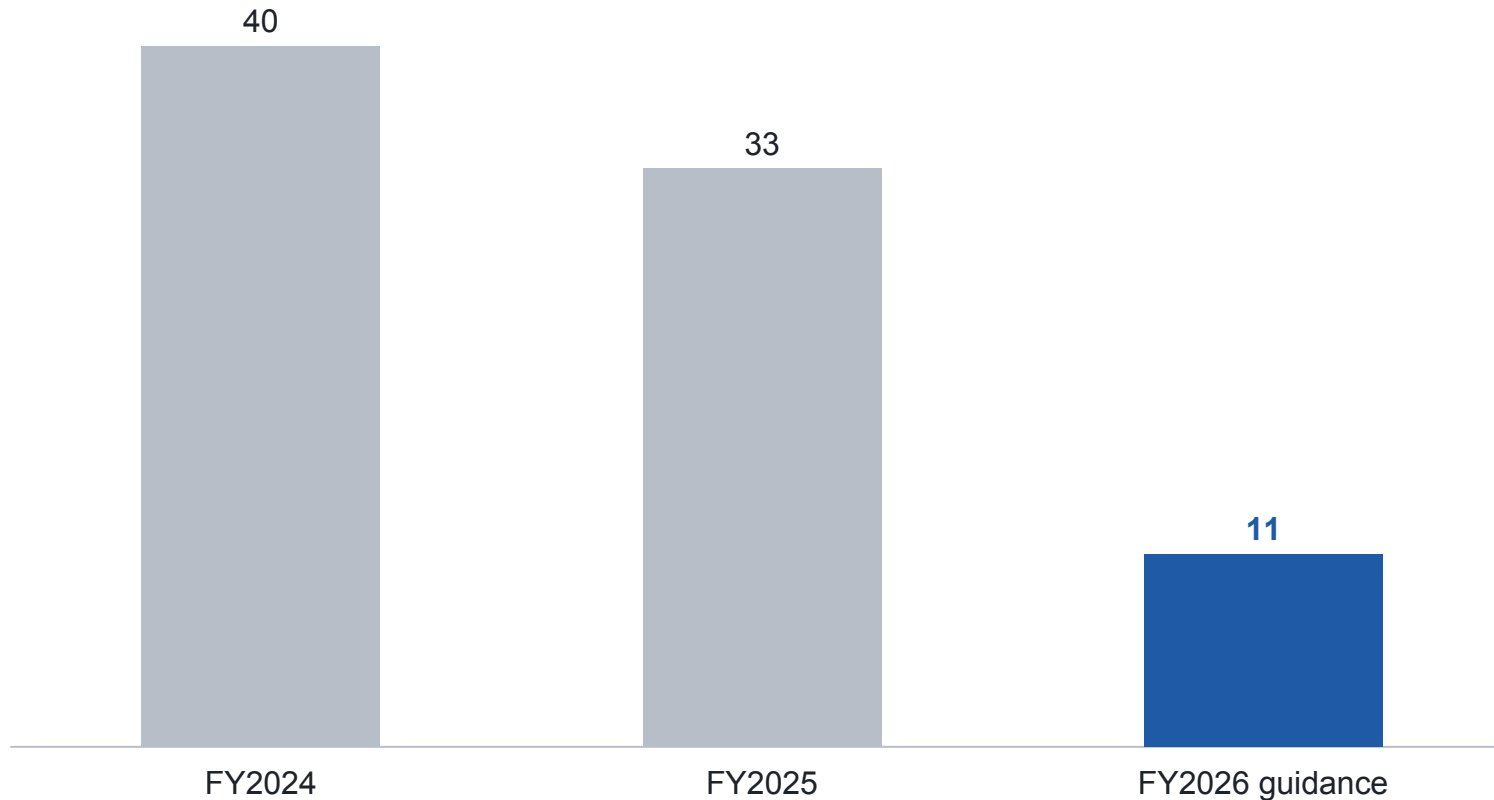


So what

- The paid share of monthly users still rose, from 8.1% to 9.2%
- Monetization of the base improves even as the base grows more slowly

2026 guidance cuts bookings growth to 10-12% by giving up over \$50M of bookings to grow free users

Total bookings growth, year over year, %



So what

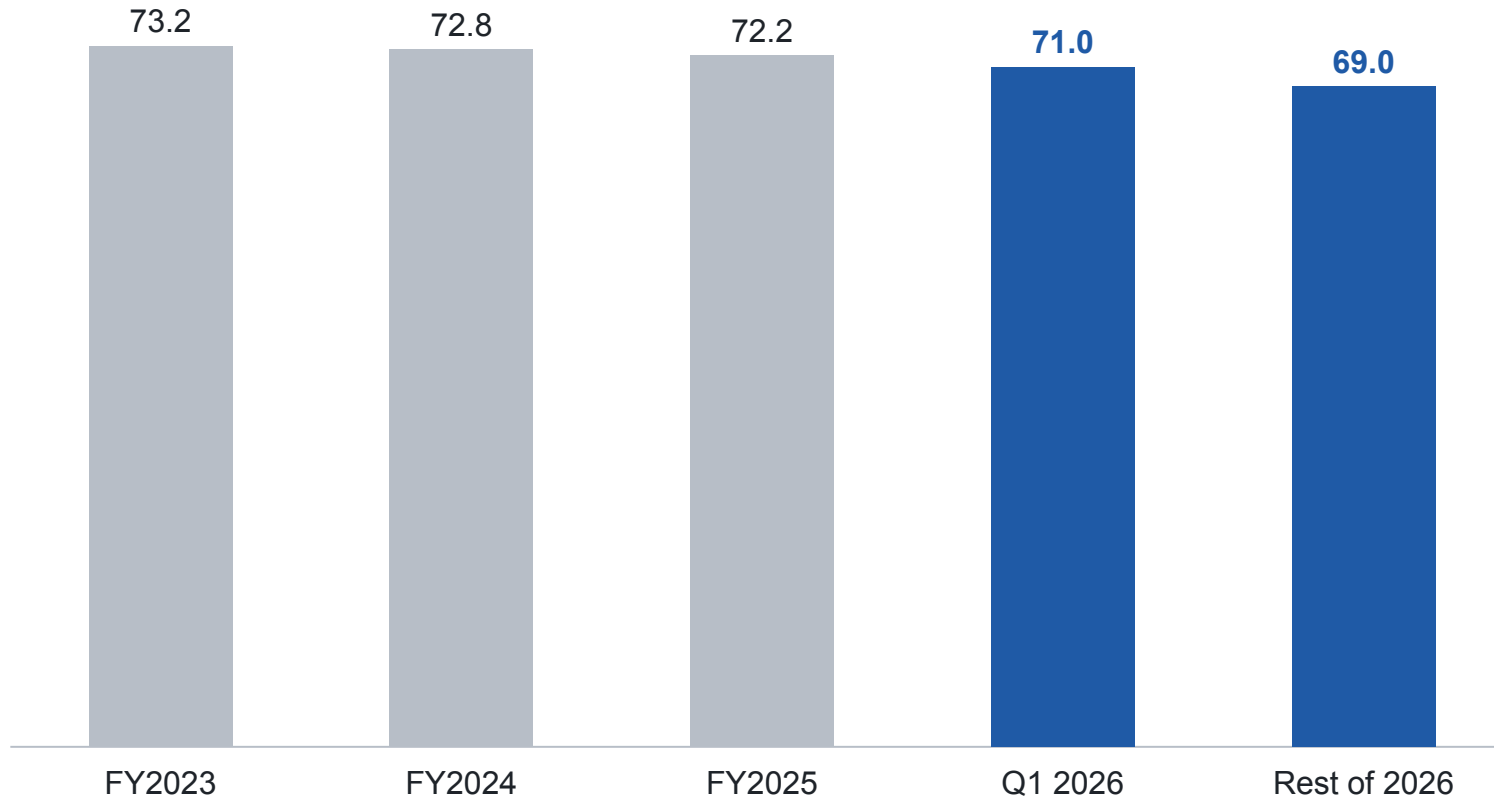
- Guidance: bookings of \$1,274M to \$1,298M in 2026
- Management puts the cost at over \$50M of bookings, about 5 points of growth
- The money goes into the free user experience to grow users faster

FY2026 is company guidance, not a result.

Source: Duolingo Q4 FY2025 and Q4 FY2024 shareholder letters. FY2026 bar = guidance midpoint: $(1,274 + 1,298) / 2 / 1,158.4 - 1 = 11\%$.

Margins step down in 2026: gross margin to about 69% on AI costs, adjusted EBITDA margin to 25%

Gross margin, fiscal years and 2026 guidance, %



So what

- Gross margin was about 72-73% for three years
- AI-powered features for all users drive the 2026 step-down
- Adjusted EBITDA margin guidance: 25.0%, down from 29.5%

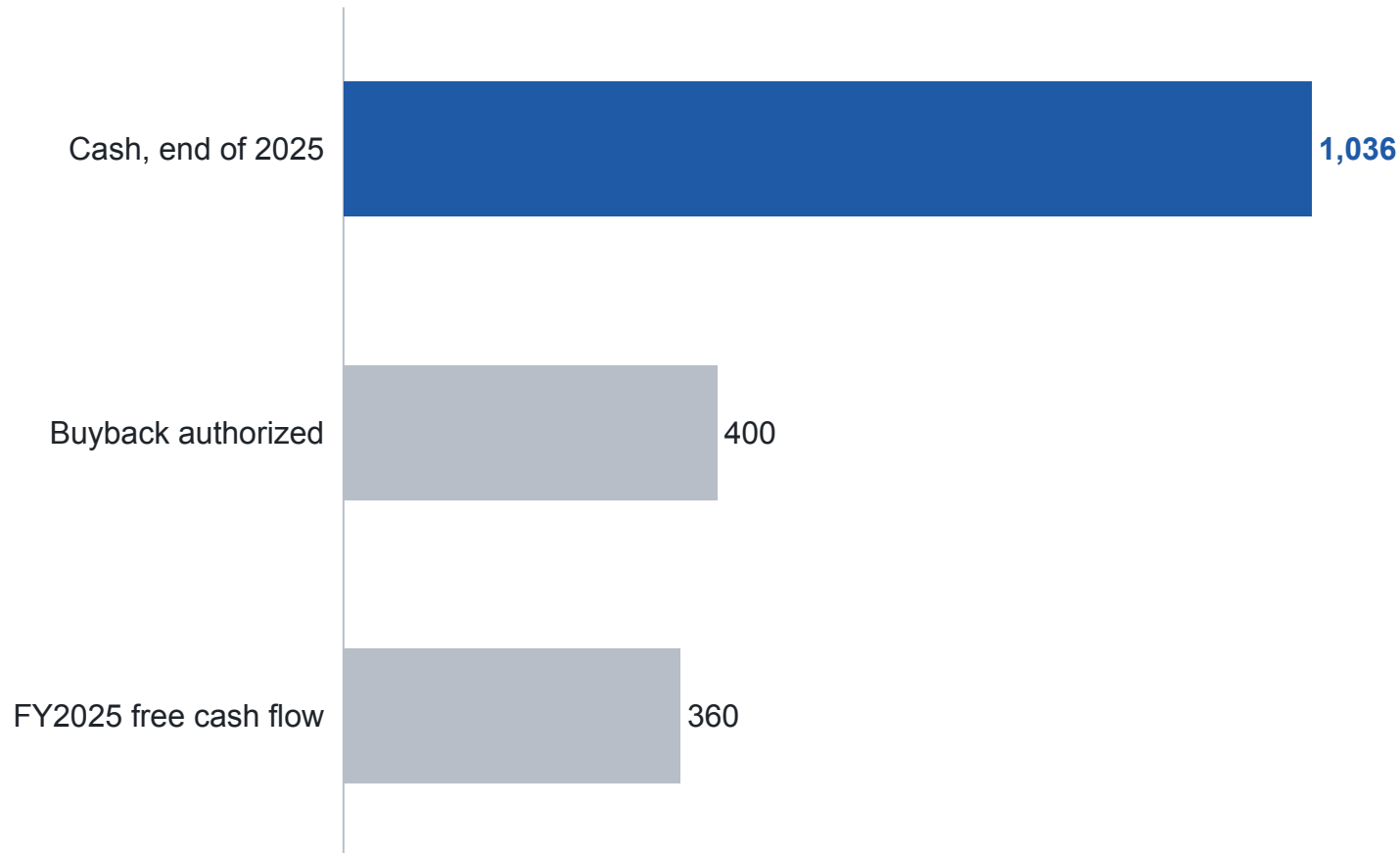
Q1 2026 and rest of 2026 are company guidance, not results.

Source: Form 10-K FY2025 (gross profit / revenue, SEC XBRL); Q4 FY2025 shareholder letter (2026 outlook: about 71% in Q1, roughly 69% after).

Cash

\$360M of free cash flow and \$1.04B in cash can fund the user bet and a \$400M buyback

Cash resources and the buyback authorization, \$M



So what

- Free cash flow rose 36% from \$264M in 2024 (non-GAAP)
- Operating cash flow was \$388M in 2025, up from \$286M
- The buyback is an authorization; timing is at the company's discretion

Judge 2026 by whether DAU growth re-accelerates above 2025's 30%, not by bookings growth

		Owner	Timing
1	Track DAU growth against the 30% of Q4 2025 The plan only works if user growth speeds up; this is the first number to read in each letter	Investors	Each quarter
2	Check bookings against the \$1,274M to \$1,298M guidance Slower bookings growth is planned; a miss below the range is not	Investors	Each quarter
3	Watch gross margin against the roughly 69% outlook A wider drop would mean the AI cost of serving free users is higher than planned	Investors	Each quarter

Key figures FY2023-FY2025

\$M unless stated	FY2023	FY2024	FY2025
Revenue	531.1	748.0	1,037.6
Gross profit	389.0	544.4	749.5
Operating income	-13.3	62.6	135.6
Net income	16.1	88.6	414.1
Operating cash flow	153.6	285.5	387.8
Cash at year end	n/a	785.8	1,036.4
DAUs in Q4, M	n/a	40.5	52.7
MAUs in Q4, M	n/a	116.7	133.1
Paid subscribers in Q4, M	n/a	9.5	12.2

n/a: not in the material used for this deck.

Source: Form 10-K FY2025 (financials, SEC XBRL company facts, CIK 0001562088); Q4 FY2025 and Q4 FY2024 shareholder letters (users).